Europe's Second China Shock

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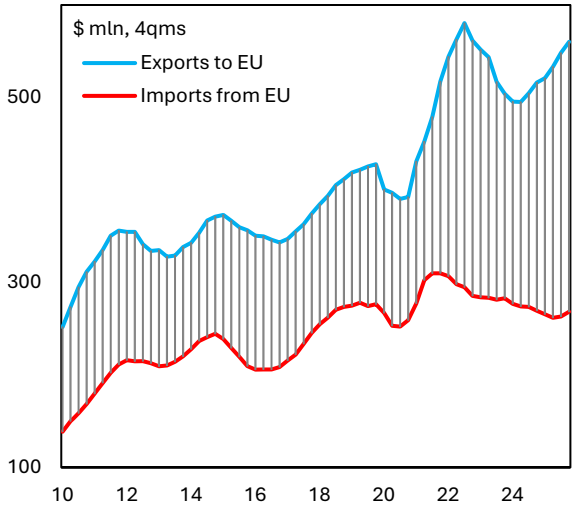
- China's weak domestic demand and industrial upgrading are pushing more high-end output into Europe.
- The resulting pressure on Europe has three dimensions: more Chinese goods in European markets; stronger price competition in core sectors; and weaker Chinese demand for European capital goods.
- The fault line is technological convergence in autos, machinery, and clean tech, not just the headline trade deficit.
- Europe's high costs, energy volatility, and fragmented capital markets amplify the competitive shock.
- Chinese FDI is small at the EU level but locally meaningful in parts of Eastern Europe and advanced manufacturing.
- Europe's policy divide is shaped more by how different sectors are exposed and positioned within supply chains than by the size of the trade deficit.
- The strategic choice is managed competition with clearer rules, or gradual fragmentation.

In this ***Global Macro Views***, we examine a structural shift in the China–Europe economic relationship that is now moving through trade policy, industrial strategy, and policy design. Europe is confronting a new phase of competition with China that reaches into the core of its manufacturing base. Understanding the economics behind that shift is essential to understanding the policy debate that follows.

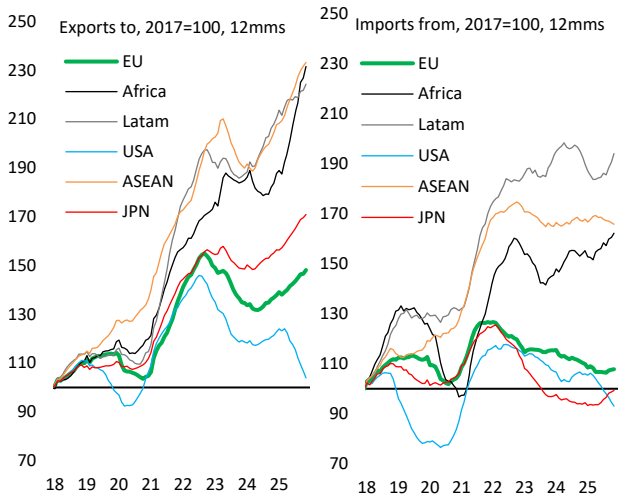
The widening trade imbalance is the visible surface. The deeper force is the combination of weak domestic demand in China and continued upgrading in high-value manufacturing. When domestic absorption remains subdued, incremental output looks outward. Europe, with its large and open market and dense industrial value chains, becomes a natural destination. Export pressure

Exhibit 1: Rising exports to and falling imports from the EU.



Source: Haver, IIF

Exhibit 2: China's trades with EU fall behind those with EMs



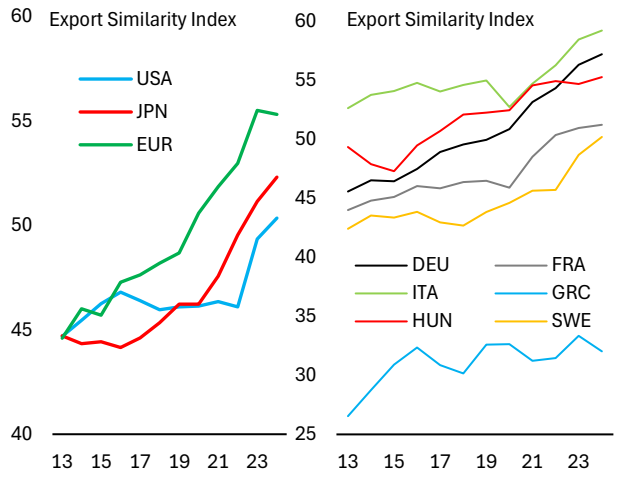
Source: Haver, IIF

in this context has a concrete meaning. It reflects three mechanisms. First, higher volumes of Chinese manufactured goods entering European markets in advanced sectors. Second, price competition as scale, faster learning curves, and state-linked capacity

compress margins. Third, China's import substitution in sophisticated industrial goods, which reduces demand for European machinery and capital equipment in China. European firms face more competition at home and less demand abroad.

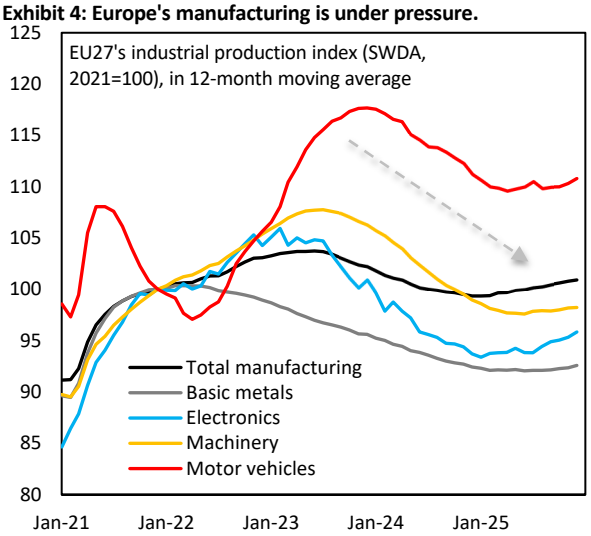
The trade data capture this asymmetry. China's exports to the EU have continued to rise and reached new highs, while its imports from the EU remain below their 2021 peak (Exhibit 1). Over recent years, China's imports from Europe have also grown more slowly than its imports from emerging markets (Exhibit 2). This divergence is difficult to reconcile with a purely cyclical story. It points to structural import substitution in advanced manufacturing and continued upgrading in advanced manufacturing capacity. As domestic absorption remains subdued, high-end output increasingly seeks external markets. Europe is one of the primary destinations.

Exhibit 3. Rising export similarity indices



Source: Haver, IIF

Exhibit 4: Europe's manufacturing is under pressure.

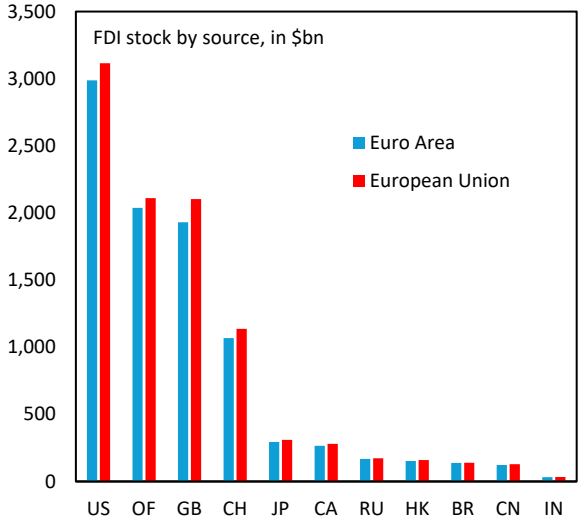


Source: Haver, IIF

Technological convergence is the central tension. Export similarity indices show that China's export basket has moved materially closer to that of key European economies, notably Germany and Italy (Exhibit 3). The overlap is concentrated in autos, machinery, electrical equipment, and clean technologies. These sectors anchor Europe's industrial model and export performance. The issue is not only that China exports more. It is that China exports more of what Europe also produces.

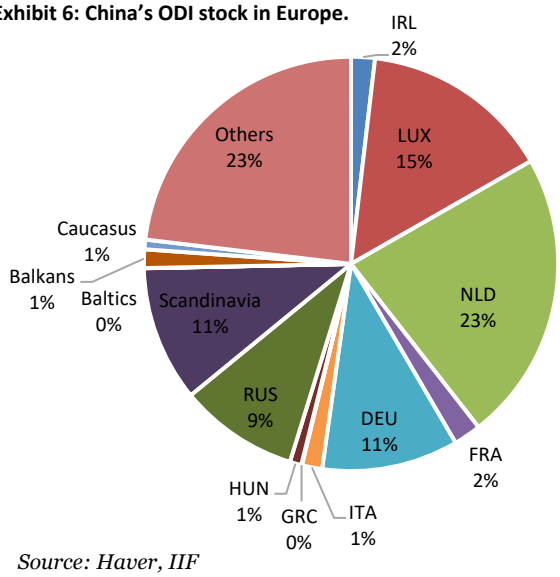
Sectoral exposure makes this convergence operational. Automotive and auto components, machinery, basic metals, and clean-technology manufacturing are facing intensified competition from Chinese producers, particularly where cost differentials are pronounced and innovation cycles slower (Exhibit 4). Because these industries sit within German-centered supply chains extending

Exhibit 5: China's FDI stock in EU remains modest



Source: Haver, IIF

Exhibit 6: China's ODI stock in Europe.



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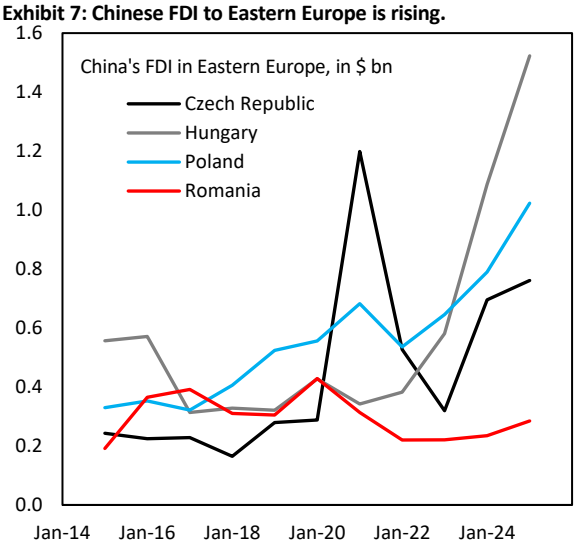
across Central and Eastern Europe, the adjustment propagates through Europe's own production network.

Europe's internal constraints amplify the effect. Energy costs have been volatile. Production costs remain elevated relative to global competitors. Capital markets are fragmented, limiting scale and innovation financing. Capital deepening has lagged in parts of the bloc. The competitive shock interacts with these weaknesses rather than creating them.

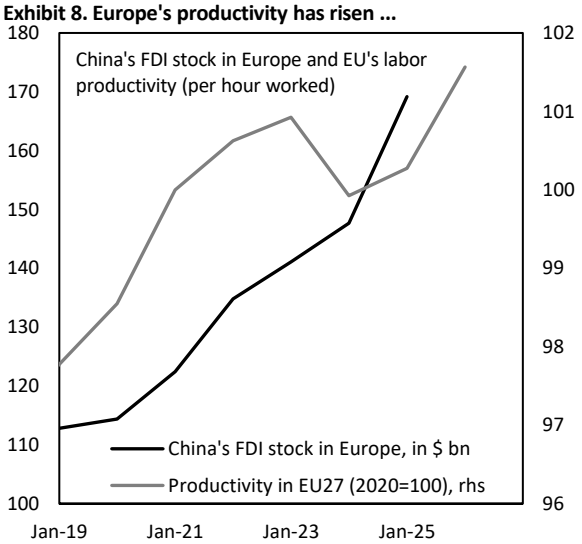
Foreign direct investment adds nuance. At the EU level, China's FDI stock remains modest relative to other major investors, just above 1% of total inward FDI (Exhibit 5). The macro footprint is small. Yet the distribution is uneven. In parts of Eastern Europe, especially Hungary, Chinese greenfield investments in batteries, auto components, and electronics are locally significant (Exhibits 6 and 7). These projects are capital-intensive and do not generate large immediate employment gains. Their relevance lies in supply-chain positioning, technology diffusion, and industrial strategy.

Exhibit 7: Chinese FDI to Eastern Europe is rising.



Source: Haver, IIF

Exhibit 8. Europe's productivity has risen ...



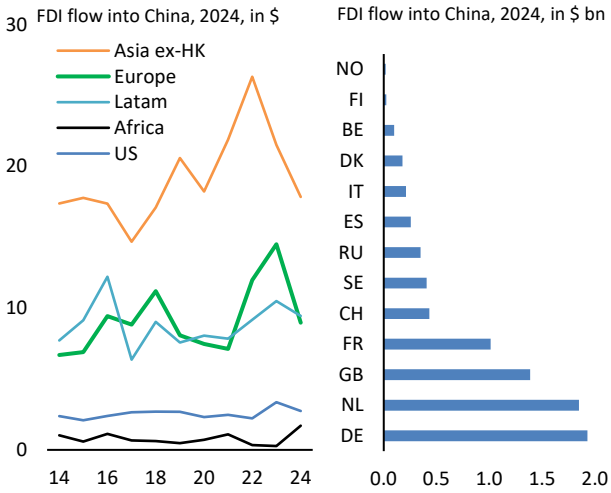
Source: Haver, IIF

Productivity trends should be interpreted with care. Europe's recent labor productivity data show stabilization and modest gains after a prolonged period of weakness (Exhibits 8 and 9). It would be premature to attribute these developments to any single factor, including Chinese FDI. Structural drivers remain dominant. Nonetheless, where foreign investment is embedded in European value chains, exposure to new processes and integration can support incremental efficiency gains over time. Investment flows reinforce

Exhibit 9. ... with potentially better growth prospects.

Source: Haver, IIF

Exhibit 10: Europe's FDI into China has declined recently.



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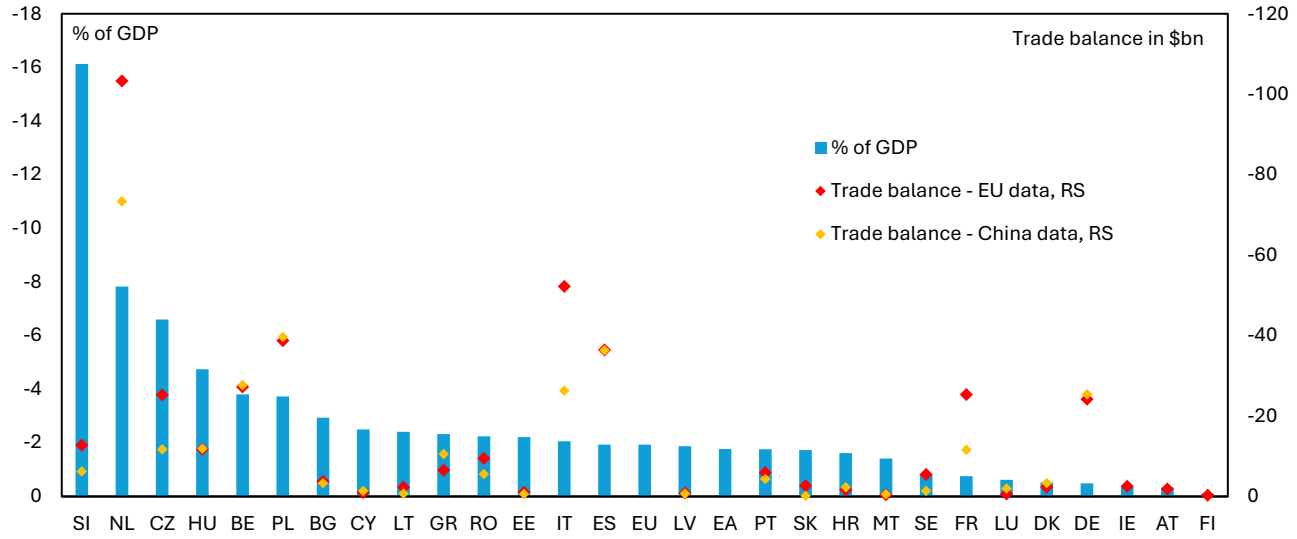
the political sensitivity of the relationship. European FDI into China has declined from earlier peaks (Exhibit 10). Chinese FDI into Europe remains modest in macro terms but highly visible in advanced manufacturing. Individual projects carry weight beyond their share of GDP.

The second China shock thus differs from the first. It is not centered on low-cost labor displacing consumer-goods production. It is centered on technological convergence in high-value manufacturing at a moment when China's domestic demand is insufficient to absorb its expanding capacity. Economic pressure has now moved into institutional terrain. China–Europe competition is increasingly about the rules governing subsidies, market access, carbon pricing, and investment screening.

Headline deficits do not explain policy divergence inside Europe. Several EU economies with relatively large trade deficits vis-à-vis China (Exhibit 11) have maintained relatively pragmatic positions. Greece and Slovenia are telling examples. Both run sizable trade deficits with China relative to GDP, yet their production structures are more complementary than directly competitive. Greece's economy is more heavily weighted toward shipping, tourism, and services, with limited exposure to the advanced manufacturing segments where Chinese competition is most intense. Slovenia, while more industrial, is less concentrated in the specific high-overlap sectors driving current tensions. In these cases, the aggregate deficit carries political visibility but does not translate into acute sectoral disruption, and policy stances have reflected that distinction.

By contrast, countries with greater sectoral overlap and clearer substitution risk have taken firmer positions. France, whose automotive sector faces direct competition from Chinese electric vehicles and components, supported stronger trade-defense measures. The concentration of exposure in a politically salient industry makes the competitive shock more immediate and harder to diffuse. Hungary illustrates a different dimension of the same logic. Despite meaningful export similarity with China, it voted against EV tariffs because it hosts substantial Chinese battery and automotive investment embedded in its domestic supply chains. In both directions, the pattern is consistent: exposure concentration and supply-chain positioning shape national responses more than the sheer size of the bilateral deficit.

Exhibit 11: Trade deficit with China by country



*Source: Haver, IIF *GDP data use IMFWEO estimates.*

Supply-chain positioning further shapes national responses. Member states hosting Chinese battery plants or auto-related investments confront different trade-offs than those facing import competition without offsetting capital inflows. This divergence reflects industrial structure rather than short-term politics.

Subsidies and reciprocity have moved to the center of the debate. Europe has responded to concerns about state support and competitive distortions with new instruments, including the Foreign Subsidies Regulation, the Anti-Coercion Instrument, and the Carbon Border Adjustment Mechanism. From Beijing's perspective, these tools increasingly appear targeted at Chinese firms in strategic sectors such as steel, electric vehicles, and clean technologies.

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The suspension of the EU–China Comprehensive Agreement on Investment has removed an anchor for expectations around market access and competitive practices. In its absence, disputes are more likely to be managed through unilateral instruments and reactive measures.

Carbon policy is both a friction point and a potential area for stabilization. Europe's CBAM seeks to prevent carbon leakage by applying costs to imports from jurisdictions with weaker carbon pricing. China has raised concerns about measurement and methodology. At the same time, China's emissions trading system continues to expand. Greater methodological alignment would not eliminate differences, but it could reduce uncertainty and support a more predictable investment environment.

The strategic choice facing Europe is clear. A predominantly defensive approach centered on tariffs, screening, and retaliatory measures may offer temporary sectoral relief. It does not address Europe's underlying competitiveness challenges. A more durable response combines selective defense with internal reform: deepening the single market, accelerating capital-markets integration, strengthening innovation financing, and clarifying predictable rules on subsidies and market access.

The structural drivers of competition are unlikely to fade. As long as China's domestic demand remains constrained and industrial upgrading continues, pressure will persist. The durability of the China–Europe economic relationship will depend less on headline trade balances and more on whether competition is anchored in credible, transparent, and reciprocal rules.

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